

Quarterly Airline Fare & Demand Report

This report summarizes U.S. domestic airline market activity for the quarter, covering passenger demand, average fares, and carrier competition across every market in the DOT's DB1B survey. It highlights the quarter's overall trend, the largest markets by volume, the fastest-growing and declining routes, the biggest fare movements, and how carriers stack up against each other, with analysis of each table written by Claude.

Quarterly Trends

year	quarter	total_passengers	total_markets	average_fare	fare_per_mile	passenger_growth_pct	fare_change_pct
2024	2	16,321,526.00	35,790.00	219.63	0.24		
2024	3	15,891,856.00	36,890.00	209.21	0.23	-2.63	-4.74
2024	4	15,910,198.00	35,872.00	224.70	0.25	0.12	7.40
2025	1	13,743,520.00	34,658.00	223.29	0.25	-13.62	-0.63
2025	2	16,125,543.00	37,048.00	219.07	0.24	17.33	-1.89

Passenger volumes rebounded sharply in 2025 Q2, up 17.3% QoQ and recovering nearly all of Q1's steep decline, while market coverage expanded to a series-high 37,048 markets. However, this traffic growth came at a modest revenue cost, with average fare slipping 1.9% to \$219.07 and fare per mile easing to \$0.2424, suggesting the volume gains were achieved through slightly softer pricing rather than fare strength.

MARKET

Top Markets by Volume

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
JFK-LAX	70,034.00	31.10	458.71	0.19	9.32	9.39
LGA-ORD	61,781.00	46.38	202.43	0.28	19.39	19.32
JFK-SFO	49,269.00	42.67	413.45	0.16	4.23	3.97
LAX-SFO	47,908.00	14.33	126.19	0.37	8.92	8.92
ATL-LGA	43,061.00	26.15	200.28	0.26	13.61	13.15
EWL-LAX	42,309.00	37.59	333.64	0.14	-4.37	-4.32
LGA-MIA	40,905.00	-8.02	207.29	0.19	7.22	6.97
EWL-MCO	40,768.00	-10.80	178.68	0.19	11.63	11.20
EWL-SFO	39,888.00	34.99	440.81	0.17	-11.82	-11.77
MCO-PHL	39,883.00	6.15	156.29	0.18	-1.66	-1.75

JFK-LAX and LGA-ORD lead the network by a clear margin, with LGA-ORD's standout 46.4% passenger growth paired with a 19.4% fare increase driving especially strong revenue gains for UA. Most top-10 markets combined rising volumes with higher fares, a favorable revenue mix, though EWL-SFO and EWL-LAX stand out as exceptions where growing traffic came alongside fare declines (-11.8% and -4.4% respectively), diluting per-passenger revenue on those routes.

Best Passenger Growth

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
BWI-MSP	7,502.00	153.96	179.12	0.19	-20.10	-19.11
MSP-PDX	8,278.00	129.31	206.36	0.14	-17.43	-15.14
MSP-RDU	5,892.00	116.30	208.61	0.21	-25.43	-24.44

Passenger volumes surged across all three markets, led by BWI-MSP (+154.0%) and MSP-PDX (+129.3%), with MSP-RDU also posting strong gains (+116.3%) — all dominated by Delta. However, this growth came at a steep cost to yield, as average fares fell sharply in each market (down as much as 25.4% on MSP-RDU), signaling that volume gains were driven by discounting rather than pricing strength.

Worst Passenger Growth

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
FLL-MSP	5,706.00	-48.92	202.75	0.14	-5.12	-5.37
MSP-RSW	12,919.00	-46.11	184.83	0.13	-17.50	-17.46
DTW-RSW	12,073.00	-42.79	183.11	0.17	-7.34	-7.68

Passenger volumes fell sharply across all three markets this quarter, with FLL-MSP posting the steepest decline at -48.9%, followed closely by MSP-RSW at -46.1% and DTW-RSW at -42.8%. Compounding the volume losses, fares also softened in each market—most notably MSP-RSW's -17.5% fare drop—signaling a double hit to revenue as both traffic and yield contracted simultaneously. Delta, the dominant carrier across all three routes, is most exposed to this combined demand and pricing weakness.

FARE

Best Fare Movement

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
HNL-SJC	6,218.00	-10.53	297.33	0.12	37.68	36.83
CHS-JFK	6,120.00	46.97	205.39	0.32	32.48	32.66
HNL-OAK	5,134.00	-4.89	284.93	0.12	28.06	27.63

Fare yields improved sharply across all three markets this quarter, led by HNL-SJC, where average fares jumped 37.7% to \$297.33 despite a 10.5% decline in passenger volume—suggesting stronger pricing power even as demand softened. CHS-JFK posted a similar 32.5% fare increase to \$205.39, but notably paired it with 47.0% passenger growth, indicating B6 (61.8% share) is capturing both higher yields and expanding traffic. HNL-OAK rounded out the gains with a 28.1% fare increase, reinforcing a broader trend of revenue-per-passenger strength across these routes even where volumes were flat or declining.

Worst Fare Movement

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
MSP-RDU	5,892.00	116.30	208.61	0.21	-25.43	-24.44
MSY-PHL	6,258.00	3.06	235.99	0.21	-24.27	-23.46
DTW-RDU	6,111.00	82.58	183.97	0.35	-23.49	-21.86

Fare erosion was steepest on MSP-RDU, where average fares fell 25.4% QoQ to \$208.61 even as passenger volume more than doubled (+116.3%), suggesting the surge in traffic (led by DL at 64.5% share) came at a significant yield cost. MSY-PHL (-24.3%, to \$235.99) and DTW-RDU (-23.5%, to \$183.97) posted similarly steep fare declines, with DTW-RDU notable for combining an 82.6% passenger jump with falling yields, reinforcing a pattern of volume growth outpacing revenue per passenger across these DL- and AA-led markets.

CARRIER

Top Carriers by Passengers

carrier	total_passengers	avg_fare	avg_market_share_pct
WN	3,406,160.00	180.96	37.49
DL	2,308,618.00	265.95	21.13
AA	1,979,301.00	251.76	17.47
UA	1,784,029.00	268.72	14.30
99	1,456,678.00	305.91	71.09

Southwest (WN) leads the field by a wide margin with 3.4 million passengers and a commanding 37.5% average market share, though its \$180.96 average fare trails all other listed carriers, reflecting its lower-fare positioning. Delta (DL) and American (AA) follow with solid volumes and stronger average fares above \$250, while carrier 99, despite the smallest passenger count, commands the highest average fare (\$305.91) and an outsized 71.1% market share, suggesting a dominant, premium-priced niche position. Overall, higher passenger volume does not necessarily correlate with higher fare revenue per traveler, a distinction worth noting for revenue strategy.

Bottom Carriers by Passengers

carrier	total_passengers	avg_fare	avg_market_share_pct
4B	1.00	95.69	100.00
AN	1.00	109.88	100.00
AC	3.00	233.83	0.01
VC	17.00	260.65	50.93
KG	29.00	208.90	54.05

AN and 4B sit at the bottom of the carrier rankings with just a single passenger apiece, though 4B's lower average fare of \$95.69 versus AN's \$109.88 makes it the weaker revenue performer of the two despite both commanding full market share. AC follows closely with only 3 passengers, but its \$233.83 average fare is notably stronger, suggesting better yield potential if volume can be grown. Overall, the smallest carriers show minimal share and passenger volume, limiting their current revenue contribution regardless of fare strength.

Top Carriers by Average Fare

carrier	total_passengers	avg_fare	avg_market_share_pct
99	1,456,678.00	305.91	71.09
UA	1,784,029.00	268.72	14.30
DL	2,308,618.00	265.95	21.13
PT	35,565.00	263.15	25.73
YV	56,085.00	260.63	4.56

Carrier 99 stands out as the fare leader, commanding an average fare of \$305.91 alongside a commanding 71.1% average market share, generating outsized revenue per passenger despite carrying fewer travelers than UA or DL. UA and DL, while driving the largest passenger volumes, trail meaningfully on yield (roughly \$269 and \$266 respectively), suggesting scale is not translating into premium pricing. PT and YV round out the group with the lowest fares (~\$263 and \$261), reflecting their smaller, more niche market presence.

Bottom Carriers by Average Fare

carrier	total_passengers	avg_fare	avg_market_share_pct
G4	488,178.00	68.22	76.07
XP	68,260.00	85.64	83.24
NK	702,021.00	93.39	10.34
F9	682,791.00	101.46	10.15
MX	149,683.00	107.49	40.69

Allegiant (G4) anchors the bottom of the fare table at just \$68.22 on average—well below every other carrier listed—despite carrying the largest passenger volume (488,178) and commanding a dominant 76.1% average market share, underscoring a volume-driven, low-yield revenue model. XP follows at \$85.64 with the highest market share overall (83.2%) but comparatively modest passenger counts, while NK and F9 post similar mid-\$90 to low-\$100 fares alongside much smaller single-digit-to-low-teen market shares. From a revenue standpoint, G4's rock-bottom fare represents the greatest yield risk in this group, and any upward movement there would carry outsized dollar impact given its passenger base.

Top Carriers by Market Share

carrier	total_passengers	avg_fare	avg_market_share_pct
XP	68,260.00	85.64	83.24
LF	113.00	151.10	81.61
G4	488,178.00	68.22	76.07
99	1,456,678.00	305.91	71.09
HA	217,212.00	220.39	51.89

XP leads the field with a commanding 83.2% average market share, closely trailed by LF at 81.6%, though both operate on a much smaller passenger base than the larger carriers. G4 rounds out the top tier at 76.1% share while delivering the lowest average fare (\$68.22), suggesting strong volume but comparatively thin revenue per passenger; by contrast, 99 combines solid share (71.1%) with by far the highest average fare (\$305.91) and the largest passenger volume, making it the strongest overall revenue performer. HA trails the group with just 51.9% share, signaling greater competitive exposure despite a healthy fare level.

Bottom Carriers by Market Share

carrier	total_passengers	avg_fare	avg_market_share_pct
ZW	162.00	212.27	3.20
YV	56,085.00	260.63	4.56
SY	96,980.00	129.25	5.90
G7	24,402.00	250.34	8.76
F9	682,791.00	101.46	10.15

ZW trails the field with a mere 3.2% average market share, despite the highest average fare (\$212.27) among these carriers—a sign its revenue potential per passenger isn't being matched by volume or share capture. YV (4.6%) and SY (5.9%) round out the bottom tier; notably, SY's passenger volume (96,980) far exceeds YV's, yet its rock-bottom \$129.25 average fare signals a low-yield strategy that's likely suppressing revenue capture despite the traffic.

Overall Consensus

This quarter's rebound in traffic (+17.3% QoQ to 16.1M passengers, nearing 2024 Q2 levels) came alongside a modest fare pullback (-1.9% to \$219.07), suggesting volume recovery is outpacing pricing power industry-wide. The picture is decidedly mixed at the market level: high-volume routes like JFK-LAX and ATL-LGA delivered healthy double-digit fare gains alongside strong passenger growth, while several fast-growing markets (MSP-RDU, BWI-MSP, MSP-PDX) saw passenger surges paired with steep fare declines of 17-25%, diluting revenue upside. With average fare per mile roughly flat versus a year ago (\$0.2424 vs. \$0.2406) and market count at a series high, overall the quarter reflects healthy demand recovery but limited net pricing gains on a system-wide basis.